market institutions. But it is not necessary that all NBFCs are capital market institutions.

The RBI defines NBFCs as, "A Non-Banking Financial Company (NBFC) is a company registered under the Companies Act, 1956 and is engaged in the business of loans and advances, acquisition of shares/stock/bonds/debentures/securities issued by Government or local authority or other securities of like marketable nature, leasing, hire-purchase, insurance business, chit business but does not include any institution whose principal business is that of agriculture activity, industrial activity, sale/purchase/construction of immovable property. A non-banking institution which is a company and which has its principal business of receiving deposits under any scheme or arrangement or any other manner, or lending in any manner is also a non-banking financial company (Residuary non-banking company)."[2]NBFCs are classified as deposit taking and non-deposit taking NBFCs .The NBFC companies differ from banks in the following aspects:

i. NBFCs can accept deposits but cannot accept demand deposits;
ii. NBFCs are not a part of the payment and settlement system and they cannot issue cheques drawn on itself and
iii. Bank deposits have an insurance cover of Deposit Insurance and Credit Guarantee Corporation but it is not available for NBFC deposits.

This chapter covers composition and functions of primary and secondary market.

Composition and Functions of Capital Market

The capital market can be classified as shown in figure 8.1 in the next page.